Berkshire Hathaway Inc (BRK-B) — Research Summary

Financial Services | Insurance - Diversified | 2026-10-22

Price: $546.97	**Signal:** BUY (7.67/10)	**Market:** bull_tech

Equity Research Summary: Berkshire Hathaway Inc. (BRK-B)

Sector: Financial Services — Insurance (Diversified) | **Price:** $546.97 | **Market Cap:** $1,153.8B

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1. COMPANY OVERVIEW & INVESTMENT THESIS

Berkshire Hathaway is Warren Buffett's sprawling conglomerate, owning insurance operations (GEICO, BHSI), the BNSF railroad, utilities, manufacturers, and a large public-equity portfolio. With AI-related tech stocks wobbling, investors are rotating into Berkshire's diversified, cash-rich business model as a defensive anchor — the stock is widely branded the "ultimate anti-AI play" and sits near all-time highs.

2. FUNDAMENTAL SNAPSHOT

- **Valuation:** Trailing P/E of 13.6 looks modest, though this is flattered by investment gains; the forward P/E of 22.7 is a more sober read and reflects a premium to its earnings power. Price-to-book sits at 1.45 — historically a reasonable multiple for Berkshire. EV is roughly $1,176B against $130.7B EBITDA (~9x), and the company trades richly on free cash flow given heavy reinvestment.
- **Earnings trend:** Three beats in the last four quarters, including a strong +19.3% surprise in Q2 2026 ($6.03 vs. $5.05 est.), partially offsetting a December miss. Direction is positive.
- **Growth & margins:** Latest quarter revenue grew 8.0% YoY to $101.8B, with net income of $25.7B. Profit margin is a healthy 22.3%, and operating margin improved to 17.2%. Growth is steady rather than explosive.
- **Balance sheet:** Fortress-like. Roughly $365.5B in cash and short-term investments against just $129.4B debt — a net cash position with a low 0.17 debt-to-equity ratio.

3. TECHNICAL OUTLOOK

- **52-week range:** $464.01–$549.94. At $546.97, the stock is pressed right against the top of its range, less than 1% below its record high.
- **Momentum:** Clearly building. Berkshire gained ~7% over three weeks while chip stocks fell ~15%, a rare divergence as capital rotates toward safety. Recent sessions outperformed the broader market.
- **Levels to watch:** Resistance sits at the $549.94 high — a breakout could open fresh upside. Support rests near prior consolidation levels well below current price; the strong uptrend suggests limited near-term downside unless

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broader sentiment reverses.

4. NEWS & SENTIMENT

Overall sentiment: Slightly Bullish

Three themes dominate recent coverage:

1. **Defensive rotation winner** — As AI/tech stocks sold off, Berkshire's stability attracted inflows, with multiple outlets highlighting it as a safe-haven beneficiary.

2. **Capital deployment resuming** — Berkshire is finally putting its massive cash pile to work, closing the ~$6.8B Taylor Morrison homebuilder acquisition and being floated as a potential funder in large equity deals (Alphabet, possibly Meta). International expansion continues with BHSI's entry into Poland.

3. **Valuation debate** — After an ~87% multi-year run, analysts are openly questioning whether the stock remains fairly valued, with the forward multiple near 24x earnings drawing scrutiny.

The prevailing narrative is positive but cautious: Berkshire is seen as a high-quality compounder and reliable store of value, though some worry it is no longer cheap and faces questions about leadership succession after Buffett.

5. BOTTOM LINE

- **Aerondight Systems Signal: BUY (7.67/10)**
- **Thesis:** A fortress balance sheet, steady earnings, and safe-haven appeal make Berkshire an attractive defensive holding as investors flee frothy tech valuations.
- **Upcoming catalyst:** Next quarterly earnings — the first full period including Taylor Morrison — will show how Berkshire's renewed capital deployment is translating into results.
- **Risk level: Low.** Low beta (0.60), net-cash balance sheet, and diversified earnings limit downside; the main risks are a rich valuation near record highs and long-term succession uncertainty.

Note: Analyst consensus (2 Buy, 2 Hold) carries a price target of $548, implying the stock is near fair value on near-term estimates — the bull case rests on continued rotation and successful capital deployment rather than multiple expansion.

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